

Area of Study	Content	Learners should be able to:
Management Accounting	Investment appraisal	• calculate and interpret quantitative methods of investment appraisal, the payback period and average rate of return (ARR) • explain how quantitative and qualitative aspects of investment appraisal affect a business • evaluate the usefulness of different methods of investment appraisal to a business and its stakeholders • recommend and justify business investments based on quantitative and qualitative investment appraisal.
	Budgets and variances	• explain what is meant by a budget • explain what is meant by a variance • calculate and interpret budgets and variances • analyse budgets and variances (favourable/ adverse) • evaluate the impact of budgets and variances on a business • evaluate the usefulness of the budgeting process and variance analysis to a business and its stakeholders.
	Cash-flow	• explain what is meant by cash-flow • distinguish between cash-flow and profit • explain the purpose of a cash-flow forecast • calculate, interpret and analyse cash-flow forecasts • calculate, interpret and analyse the impact on a cash-flow forecast of changes in costs and revenue • evaluate the impact of a cash-flow forecast on a business and its stakeholders • evaluate the usefulness of cash-flow forecasting to a business and its stakeholders • evaluate strategies to overcome forecast cash-flow problems • evaluate the usefulness of cash-flow forecasts for a business and its stakeholders.
	Working capital	• explain what is meant by working capital • explain what is meant by the working capital cycle.